# Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)

## Standalone Balance Sheet
**As at 31 March 2022**

*(All amounts are in Rs. million, unless otherwise stated)*

| Particulars | Notes | As at 31 March 2022 | As at 31 March 2021 | As at 1 April 2020 |
|---|---|---|---|---|
| **ASSETS** | | | | |
| **NON-CURRENT ASSETS** | | | | |
| Property, plant and equipment | 3 | 26.03 | 17.47 | 9.03 |
| Right-of-use assets | 4 | 130.36 | 97.28 | 53.84 |
| Other intangible assets | 5 | 44.03 | 48.92 | - |
| Intangible assets under development | 5 | 81.67 | - | - |
| Financial assets | | | | |
| Investments in Subsidiaries and Associate | 6 | 2,336.74 | - | 50.00 |
| Other Investments | 7 | 26.98 | 24.48 | 23.31 |
| Other financial assets | 8 | 42.71 | 17.41 | 14.30 |
| Non-current tax assets (net) | 9 | 81.72 | 0.04 | 8.29 |
| Deferred tax assets (net) | 9 | 31.29 | 26.10 | - |
| **TOTAL NON-CURRENT ASSETS** | | **2,801.53** | **231.70** | **158.77** |
| **CURRENT ASSETS** | | | | |
| Inventories | 11 | 5,457.34 | 3,088.23 | 749.58 |
| Financial assets | | | | |
| Trade receivables | 12 | 3,227.37 | 754.83 | 552.75 |
| Cash and cash equivalents | 13 | 302.22 | 1,443.93 | 73.15 |
| Bank balance other than cash and cash equivalents | 14 | 1,575.84 | 45.00 | 12.50 |
| Loans | 15 | 34.21 | 0.59 | 0.93 |
| Other financial assets | 8 | 2,523.80 | 6.05 | 2.25 |
| Other current assets | 10 | 2,819.69 | 1,213.94 | 361.74 |
| **TOTAL CURRENT ASSETS** | | **15,940.48** | **6,552.57** | **1,752.90** |
| **TOTAL ASSETS** | | **18,742.01** | **6,784.27** | **1,911.67** |
| **EQUITY AND LIABILITIES** | | | | |
| **EQUITY** | | | | |
| Equity share capital | 16 | 96.04 | 0.45 | 0.50 |
| Instruments entirely equity in nature | 16 | 108.71 | 93.09 | - |
| Other equity | 17 | 5,896.75 | 4,548.14 | 721.46 |
| **TOTAL EQUITY** | | **6,101.50** | **4,641.68** | **721.96** |
| **LIABILITIES** | | | | |
| **NON-CURRENT LIABILITIES** | | | | |
| Financial Liabilities | | | | |
| Borrowings | 18 | - | - | 134.80 |
| Lease liabilities | 19 | 94.30 | 77.05 | 41.41 |
| Provisions | 20 | 6.34 | 2.02 | 0.79 |
| Deferred tax liabilities (net) | 9 | - | - | 0.85 |
| **TOTAL NON-CURRENT LIABILITIES** | | **100.64** | **79.07** | **177.85** |
| **CURRENT LIABILITIES** | | | | |
| Financial Liabilities | | | | |
| Borrowings | 18 | 9,211.32 | 415.33 | 353.31 |
| Lease liabilities | 19 | 41.36 | 24.57 | 13.49 |
| Trade payables | | | | |
| Total outstanding dues of micro enterprise and small enterprises | 21 | 24.43 | 30.57 | 3.88 |
| Total outstanding dues of creditors other than micro enterprises and small enterprises | 21 | 2,164.26 | 1,175.27 | 339.62 |
| Other financial liabilities | 22 | 8.11 | 30.74 | 10.15 |
| Other current liabilities | 23 | 38.35 | 83.05 | 19.72 |
| Provisions | 20 | 1,052.04 | 208.54 | 176.85 |
| Current tax liabilities (net) | 9 | - | 95.45 | 94.84 |
| **TOTAL CURRENT LIABILITIES** | | **12,539.87** | **2,063.52** | **1,011.86** |
| **TOTAL LIABILITIES** | | **12,640.51** | **2,142.59** | **1,189.71** |
| **TOTAL EQUITY AND LIABILITIES** | | **18,742.01** | **6,784.27** | **1,911.67** |
| **Basis of preparation, measurement and significant accounting policies** | 2 | | | |

The accompanying notes 3 to 51 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**
*Chartered Accountants*
Firm Registration No. 101248W/W-100022

AMAR SUNDER Digitally signed by AMAR SUNDER Date: 2022.10.18 21:05:24 +05'30'

**Amar Sunder**
*Partner*
Membership No: 078305

Mumbai, 18 October 2022

For and on behalf of the Board of Directors of
**Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)**
CIN: U52300MH2013PLC249758

AMAN GUPTA Digitally signed by AMAN GUPTA Date: 2022.10.18 20:08:58 +05'30'

**Aman Gupta**
*Director*
DIN: 02249682

SAMEER ASHOK MEHTA Digitally signed by SAMEER ASHOK MEHTA Date: 2022.10.18 20:01:37 +05'30'

**Sameer Mehta**
*Director*
DIN: 02945481

VIVEK GAMBHIR Digitally signed by VIVEK GAMBHIR Date: 2022.10.18 19:59:35 +05'30'

**Vivek Gambhir**
*Director & CEO*
DIN: 06527810

ANKUR SHARMA Digitally signed by ANKUR SHARMA Date: 2022.10.18 20:14:10 +05'30'

**Ankur Sharma**
*Chief Financial Officer*

MUKESH RADHESHYAM RANGA Digitally signed by MUKESH RADHESHYAM RANGA Date: 2022.10.18 20:16:02 +05'30'

**Mukesh Ranga**
*Company Secretary*

Mumbai, 18 October 2022

# Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)

## Standalone Statement of Profit and Loss

**For the year ended 31 March 2022**

*(All amounts are in Rs. million, unless otherwise stated)*

| Particulars | Notes | Year ended 31 March 2022 | Year ended 31 March 2021 |
|---|---|---|---|
| **INCOME** | | | |
| Revenue from operations | *24* | 28,729.01 | 13,138.03 |
| Other income | *25* | 135.07 | 65.72 |
| **TOTAL INCOME** | | **28,864.08** | **13,203.75** |
| **EXPENSES** | | | |
| Purchases of stock-in-trade | *26* | 25,847.78 | 12,547.02 |
| Changes in inventories of stock-in-trade | *27* | (2,369.11) | (2,338.65) |
| Employee benefits expense | *28* | 519.94 | 149.20 |
| Finance costs | *29* | 332.89 | 118.78 |
| Depreciation and amortisation expense | *30* | 65.81 | 31.98 |
| Other expenses | *31* | 3,376.35 | 1,519.90 |
| **TOTAL EXPENSES** | | **27,773.66** | **12,028.23** |
| **Profit before tax** | | **1,090.42** | **1,175.52** |
| **Tax expense** | *9* | | |
| Current tax | | 306.88 | 327.33 |
| Deferred tax | | (4.66) | (10.51) |
| **Total tax expense** | | **302.22** | **316.82** |
| **PROFIT FOR THE YEAR (A)** | | **788.20** | **858.70** |
| **OTHER COMPREHENSIVE LOSS** | | | |
| *Items that will not be reclassified subsequently to profit or loss* | | | |
| Remeasurements of the net defined benefit plans | | (2.12) | (0.01) |
| Income tax relating to these items | | 0.53 | 0.00 |
| **OTHER COMPREHENSIVE LOSS FOR THE YEAR, NET OF TAX (B)** | | **(1.59)** | **(0.01)** |
| **TOTAL COMPREHENSIVE INCOME FOR THE YEAR (A+B)** | | **786.61** | **858.69** |
| **Earnings per equity share (face value of Re. 1 each)** | | | |
| Basic (Rs.) | *32* | 5.85 | 8.46 |
| Diluted (Rs.) | *32* | 5.84 | 7.91 |
| **Basis of preparation, measurement and significant accounting policies** | *2* | | |

The accompanying notes 3 to 51 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**
*Chartered Accountants*
Firm Registration No. 101248W/W-100022

AMAR SUNDER Digitally signed by AMAR SUNDER Date: 2022.10.18 21:05:59 +05'30'

**Amar Sunder**
*Partner*
Membership No: 078305

Mumbai, 18 October 2022

For and on behalf of the Board of Directors of
**Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)**
CIN: U52300MH2013PLC249758

AMAN GUPTA Digitally signed by AMAN GUPTA Date: 2022.10.18 20:09:27 +05'30'

**Aman Gupta**
*Director*
DIN: 02249682

SAMEER ASHOK MEHTA Digitally signed by SAMEER ASHOK MEHTA Date: 2022.10.18 20:03:00 +05'30'

**Sameer Mehta**
*Director*
DIN: 02945481

VIVEK GAMBHIR Digitally signed by VIVEK GAMBHIR Date: 2022.10.18 19:59:50 +05'30'

**Vivek Gambhir**
*Director & CEO*
DIN: 06527810

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**Ankur Sharma**
*Chief Financial Officer*

MUKESH RADHESHYAM RANGA Digitally signed by MUKESH RADHESHYAM RANGA Date: 2022.10.18 20:17:23 +05'30'

**Mukesh Ranga**
*Company Secretary*

Mumbai, 18 October 2022

# Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)

## Statement of Changes in Equity for the year ended 31 March 2022

***(All amounts are in Rs. million, unless otherwise stated)***

### A. EQUITY SHARE CAPITAL

| Particulars | Number of Shares | Amount |
|---|---|---|
| **ISSUED, SUBSCRIBED AND PAID UP CAPITAL** | | |
| Equity Shares of ₹ 1/- each fully paid up | | |
| **Balance at 1 April 2020** | **50,000** | **0.05** |
| Changes in equity share capital during the year due to prior period errors | - | - |
| **Restated Balance at 1 April 2020** | **50,000** | **0.05** |
| Changes in equity share capital during the year | (4,934) | (0.00) |
| **Balance at 31 March 2021** | **45,066** | **0.05** |
| Changes in equity share capital during the period due to prior period errors | - | - |
| **Restated Balance at 31 March 2021** | **45,066** | **0.05** |
| Changes in equity share capital during the year | 8,65,05,300 | 86.51 |
| **Balance at 31 March 2022** | **8,65,50,366** | **86.55** |

### B. INSTRUMENTS ENTIRELY EQUITY IN NATURE

| | Series A CCPS * | | Series B CCPS ** | |
|---|---|---|---|---|
| Particulars | Number of Shares | Amount # | Number of Shares | Amount ## |
| **ISSUED, SUBSCRIBED AND PAID UP CAPITAL** | | | | |
| **Balance at 1 April 2020** | - | - | - | - |
| Changes in Preference share capital during the period due to prior period errors | - | | | |
| **Restated Balance at 1 April 2020** | - | - | - | - |
| Changes in preference share capital during the year | 5,109 | 0.05 | 15,507 | 93.04 |
| **Balance at 31 March 2021** | **5,109** | **0.05** | **15,507** | **93.04** |
| Changes in Preference share capital during the period due to prior period errors | - | - | - | - |
| **Restated Balance at 31 March 2021** | **5,109** | **0.05** | **15,507** | **93.04** |
| Changes in preference share capital during the year | - | - | 1,762 | 10.57 |
| **Balance at 31 March 2022** | **5,109** | **0.05** | **17,269** | **103.61** |

**Note:** 5,109 Compulsorily Convertible Preference Shares of Rs. 10 each were classified as compound financial instrument on the date of issue. With effect from 5 January 2021, the same have been reclassified as Instrument completely in the nature of Equity. (refer note 16(h) for further details)

* Series A CCPS represents 0.01% Non-cumulative compulsorily convertible prefernce shares of Rs 10 each, fully paid up
** Series B CCPS represents 0.01% Cumulative compulsorily convertible prefernce shares of Rs 6,000 each, fully paid up

# Series A CCPS - Total proceeds received of Rs. 210 million in FY 2018-19 on fresh issuance of Series A CCPS which was classified as compound financial instruments up to 4 January 2021. Refer note 16(h)
## Series B CCPS - Total proceeds received of Rs. 4,400.09 million in FY 2020-21 and Rs. 499.96 million during the year ended 31 March 2022 on fresh issuance of Series B CCPS.

### C. OTHER EQUITY

| Particulars | Equity component of compound financial instruments | Reserves and Surplus | | | | | | Total Other Equity |
|---|---|---|---|---|---|---|---|---|
| | | Securities Premium | Debenture Redemption Reserve | Capital redemption reserve | General reserve | Share Options Outstanding Account | Retained earnings | |
| **Balance at 1 April 2020** | **69.34** | **-** | **11.25** | **-** | **-** | **3.00** | **637.87** | **721.46** |
| Profit for the year | - | - | - | - | - | - | 858.70 | 858.70 |
| Other comprehensive income for the year | - | - | - | - | - | - | (0.01) | (0.01) |
| **Total comprehensive income for the year** | **-** | **-** | **-** | **-** | **-** | **-** | **858.69** | **858.69** |
| Securities premium on preference shares issued | - | 4,307.05 | - | - | - | - | - | 4,307.05 |
| Securities premium on account of change in classification of compound financial instrument | - | 209.95 | - | - | - | - | - | 209.95 |
| Expenses incurred directly in connection with issue of CCPS | - | (91.52) | - | - | - | - | - | (91.52) |
| Securities premium utilised for buy back of equity shares | - | (1,135.45) | - | - | - | - | - | (1,135.45) |
| Securities premium transferred to capital redemption account on buy back of equity shares | - | (0.05) | - | 0.05 | - | - | - | - |
| Buy back distribution tax | - | - | - | - | - | - | (264.52) | (264.52) |
| Share-based payments to employees | - | - | - | - | - | 11.82 | - | 11.82 |
| Reversal of deferred tax originally recognised on equity component of compound financial instrument on reclassification | 16.44 | - | - | - | - | - | - | 16.44 |
| Reclassification of Equity component of CCPS from Other equity to Instruments entirely Equity in nature | (85.78) | - | - | - | - | - | - | (85.78) |
| Transferred to general reserve | - | - | (11.25) | - | 11.25 | - | - | - |
| **Balance at 31 March 2021** | **-** | **3,289.98** | **-** | **0.05** | **11.25** | **14.82** | **1,232.04** | **4,548.14** |
| Profit for the year | - | - | - | - | - | - | 788.20 | 788.20 |
| Other comprehensive income for the year | - | - | - | - | - | - | (1.59) | (1.59) |
| **Total comprehensive income for the year** | **-** | **-** | **-** | **-** | **-** | **-** | **786.61** | **786.61** |
| Securities premium on preference shares issued | - | 489.39 | - | - | - | - | - | 489.39 |
| Securities premium on Equity shares issued | - | 19.54 | | | | | | 19.54 |
| Expenses incurred directly in connection with issue of CCPS | - | (12.07) | - | - | - | - | - | (12.07) |
| Utilised for issue of bonus shares | - | (99.80) | - | (0.05) | - | - | - | (99.85) |
| Share-based payments to employees | - | - | - | - | - | 155.72 | - | 155.72 |
| Issue of equity shares on exercise of employee stock options | - | 17.81 | - | - | - | (8.54) | - | 9.27 |
| **Balance at 31 March 2022** | **-** | **3,704.85** | **-** | **-** | **11.25** | **162.00** | **2,018.65** | **5,896.75** |

Refer note 17B for nature and purpose of reserves.

The accompanying notes 3 to 51 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**
*Chartered Accountants*
Firm Registration No. 101248W/W-100022

AMAR SUNDER Digitally signed by AMAR SUNDER Date: 2022.10.18 21:06:46 +05'30'

**Amar Sunder**
*Partner*
Membership No: 078305

Mumbai, 18 October 2022

For and on behalf of the Board of Directors of
**Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)**
CIN: U52300MH2013PLC249758

AMAN GUPTA Digitally signed by AMAN GUPTA Date: 2022.10.18 20:09:56 +05'30'
**Aman Gupta**
*Director*
DIN: 02249682

SAMEER ASHOK MEHTA Digitally signed by SAMEER ASHOK MEHTA Date: 2022.10.18 20:03:14 +05'30'
**Sameer Mehta**
*Director*
DIN: 02945481

VIVEK GAMBHIR Digitally signed by VIVEK GAMBHIR Date: 2022.10.18 20:00:06 +05'30'
**Vivek Gambhir**
*Director & CEO*
DIN: 06527810

ANKUR SHARMA Digitally signed by ANKUR SHARMA Date: 2022.10.18 20:14:42 +05'30'
**Ankur Sharma**
*Chief Financial Officer*

MUKESH RADHESHYAM RANGA Digitally signed by MUKESH RADHESHYAM RANGA Date: 2022.10.18 20:18:15 +05'30'
**Mukesh Ranga**
*Company Secretary*

Mumbai, 18 October 2022

# Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)

## Standalone Statement of Cash Flows

**For the year ended 31 March 2022**

*(All amounts are in Rs. million, unless otherwise stated)*

| Particulars | Year ended 31 March 2022 | Year ended 31 March 2021 |
|---|---|---|
| **CASH FLOWS FROM OPERATING ACTIVITIES** | | |
| Profit before tax | 1,090.42 | 1,175.52 |
| *Adjustments for:* | | |
| Depreciation and amortisation expense | 65.81 | 31.98 |
| Share based payment expense | 155.72 | 11.82 |
| Interest on fixed deposits | (96.63) | (21.38) |
| Interest income others | (2.15) | - |
| Interest on income tax refund | - | (0.64) |
| Fair valuation (gain)/loss from investments designated at FVTPL | (2.51) | (1.17) |
| Liabilities no longer required, written back | (0.45) | (0.03) |
| Provisions no longer required, written back | (6.41) | (14.33) |
| Gain on derecognition of liability component of CCPS | - | (20.43) |
| Gain on waiver of lease liabilities | - | (3.35) |
| Gain on derecognition of leases | (1.70) | - |
| Finance cost | 332.89 | 118.78 |
| Provision for impairment of non-current investment | - | 50.00 |
| Provision for loss allowance for trade receivables | 7.05 | - |
| Provision for doubtful advances | 38.16 | 28.63 |
| Provision for doubtful interest receivable on trade advance | - | 1.77 |
| Provision for slow and non moving inventory | 86.61 | 168.30 |
| Provision for warranty | 484.88 | 181.94 |
| Provision for expected return liability | 550.00 | 20.95 |
| Unrealised foreign exchange (gain) / loss | 8.00 | (11.78) |
| **Operating profit before working capital changes** | **2,709.69** | **1,716.58** |
| *Adjustments for :* | | |
| (Increase) in inventories | (2,455.72) | (2,506.95) |
| (Increase) in trade receivables | (2,479.59) | (187.75) |
| (Increase)/Decrease in loans | (4.48) | 0.34 |
| (Increase) in other financial assets | (2,460.09) | (5.14) |
| (Increase) in other current assets | (1,637.05) | (880.83) |
| Increase in trade payables | 974.84 | 873.06 |
| (Decrease)/Increase in other financial liabilities | (29.53) | 9.15 |
| (Decrease) in other current liabilities | (44.70) | 63.33 |
| (Decrease) in current and non-current provisions | (187.06) | (169.97) |
| **Cash (used in) operations** | **(5,613.68)** | **(1,088.18)** |
| Taxes paid (net of refunds) | (484.01) | (332.83) |
| **Net Cash flows (used in) operating activities (A)** | **(6,097.69)** | **(1,421.01)** |
| **CASH FLOWS FROM INVESTING ACTIVITIES** | | |
| Investment made in equity shares of subsidiaries | (2,336.73) | - |
| Purchase of tangible assets | (24.74) | (16.40) |
| Purchase of intangible assets | - | (35.50) |
| Intangible assets under development | (77.89) | - |
| Loan given to subsidiaries | (31.69) | - |
| Repayment of loan from subsidiaries | 4.69 | - |
| Fixed deposits placed | (1,575.84) | (45.00) |
| Fixed deposits matured | 45.00 | 12.50 |
| Interest on fixed deposits | 13.67 | 17.84 |
| **Net cash flow (used in) investing activities (B)** | **(3,983.53)** | **(66.56)** |
| **CASH FLOWS FROM FINANCING ACTIVITIES** | | |
| Proceeds from issue of preference shares, including securities premium | 499.96 | 4,400.09 |
| Proceeds from issue of equity shares, including securities premium | 29.99 | - |
| Expenses incurred for issuance of preference share capital | (12.07) | (91.52) |
| Payment towards buy back of equity shares | - | (1,135.50) |
| Payment towards distribution tax on buy back of equity shares | - | (264.52) |
| Repayment towards debentures | - | (112.50) |
| Proceeds from term loan | - | 100.00 |
| Repayment towards term loan | (58.82) | (60.00) |
| Proceeds from short-term borrowings other than cash credit (net) | 8,843.46 | 145.72 |
| Repayment of lease liabilities | (44.05) | (19.26) |
| Interest and other borrowing costs paid | (318.96) | (92.96) |
| **Net cash flow generated from financing activities (C)** | **8,939.51** | **2,869.55** |
| **Net (decrease)/increase in cash and cash equivalents (A+B+C)** | **(1,141.71)** | **1,381.98** |
| **Cash and cash equivalents at the beginning of the year** | **1,443.93** | **61.95** |
| **Cash and cash equivalents at the end of the year (refer note below)** | **302.22** | **1,443.93** |

# Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)

## Standalone Statement of Cash Flows
**For the year ended 31 March 2022**

*(All amounts are in Rs. million, unless otherwise stated)*

| Particulars | Year ended 31 March 2022 | Year ended 31 March 2021 |
|---|---|---|
| **Components of cash and cash equivalents:** | | |
| Cash on hand | 0.72 | 0.07 |
| Balance with banks | | |
| In current accounts | 301.50 | 42.00 |
| In deposits with original maturity of less than 3 months | - | 1,401.86 |
| **Total cash and cash equivalents (refer note 13)** | **302.22** | **1,443.93** |

The above Standalone Statement of Cash Flows has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'.

**Reconciliation between opening and closing balance sheet for liabilities arising from financing activities:**

| | Opening balance 1 April 2021 | Cash flows | Non- cash movement | Closing balance 31 March 2022 |
|---|---|---|---|---|
| Long-term borrowings (including current maturities) | 58.82 | (58.82) | - | - |
| Loan repayable on demand | 356.51 | 8,854.81 | - | 9,211.32 |
| Leases | 101.62 | (44.05) | 78.09 | 135.66 |
| **Total liabilities from financing activities** | **516.95** | **8,751.94** | **78.09** | **9,346.99** |

**Reconciliation between opening and closing balance sheet for liabilities arising from financing activities:**

| | Opening balance 1 April 2020 | Cash flows | Non- cash movement | Closing balance 31 March 2021 |
|---|---|---|---|---|
| Long-term borrowings (including current maturities) | 266.12 | (72.50) | (134.80) | 58.82 |
| Loan repayable on demand | 210.79 | 145.72 | - | 356.51 |
| Leases | 54.90 | (19.26) | 65.98 | 101.62 |
| **Total liabilities from financing activities** | **531.81** | **53.96** | **(68.82)** | **516.95** |

Non-cash movement represents:
- With respect to long-term borrowings, accrual of interest on liability component of compound financial instruments and reclassification of liability component to Instrument entirely equity in nature (Refer note 16(h)).
- With respect to leases, accrual of interest on lease liabilities.

During the year, the Company has converted 2,559 Series A CCPS to 2,559 equity shares of Rs 10 each. The same has been treated as non-cash items and accordingly not reflected in the Standalone Statement of Cash Flows. (Refer note 16)

**Refer note 31 (ii) for amount spent towards corporate social responsibility**

The accompanying notes 3 to 51 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**
*Chartered Accountants*
Firm Registration No. 101248W/W-100022

AMAR SUNDER Digitally signed by AMAR SUNDER Date: 2022.10.18 21:07:28 +05'30'

**Amar Sunder**
*Partner*
Membership No: 078305

Mumbai, 18 October 2022

For and on behalf of the Board of Directors of
**Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)**
CIN: U52300MH2013PLC249758

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**Aman Gupta**
*Director*
DIN: 02249682

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**Vivek Gambhir**
*Director & CEO*
DIN: 06527810

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**Ankur Sharma**
*Chief Financial Officer*

MUKESH RADHESHYAM RANGA Digitally signed by MUKESH RADHESHYAM RANGA Date: 2022.10.18 20:18:35 +05'30'

**Mukesh Ranga**
*Company Secretary*

Mumbai, 18 October 2022

### 32 EARNING PER SHARE ('EPS')

| Particulars | Year ended 31 March 2022 | Year ended 31 March 2021 |
|---|---|---|
| **Profit attributable to equity holders:** | | |
| Basic earnings | 788.20 | 858.70 |
| Add: Interest cost on liability component of compound financial instrument (net of tax) | - | 7.37 |
| Adjusted for the effect of dilution | 788.20 | 866.07 |
| **Weighted average number of Equity Shares for:** | | |
| **Basis EPS** | | |
| Number of equity shares at the beginning of the year | 45,066 | 50,000 |
| Add: Shares issued on conversion of CCPS during the year | 2,559 | - |
| Add: Issue of Equity Shares on exercise of employee stock option | 3,16,800 | - |
| Add: Issue of Equity Shares during the year | 4,63,500 | - |
| Add: Bonus shares issued during the year * | 94,77,375 | 99,50,000 |
| Add: Equity shares arising on share split from Rs. 10 to Re. 1 per share | 8,57,25,000 | - |
| Less: Shares bought back during the year | - | (9,86,800) |
| Number of equity shares outstanding at the end of the year | 9,60,30,300 | 90,13,200 |
| Number of equity shares outstanding at the end of the year (post share split) @ | 9,60,30,300 | 9,01,32,000 |
| Number of instruments completely in the nature of equity at the beginning of the year | 20,616 | - |
| Add: Shares issued during the year | 1,762 | 15,507 |
| Add: Instrument classified as completely in the nature of equity during the year | - | 5,109 |
| Less: Shares converted into equity shares during the year | (2,559) | - |
| Add: Bonus shares issued during the year * | 5,07,450 | 10,16,691 |
| Number of equity shares outstanding at the end of the year | 5,27,269 | 10,37,307 |
| Number of equity shares outstanding at the end of the year (post share split) @ | 52,72,690 | 1,03,73,070 |
| Total of equity shares and instruments completely in the nature of equity | 9,65,57,569 | 1,00,50,507 |
| Total of equity shares and instruments completely in the nature of equity ((post share split) @) | 10,13,02,990 | 10,05,05,070 |
| Weighted average number of shares outstanding during the year for Basic EPS | 13,48,35,173 | 10,14,70,780 |
| **Diluted EPS** | | |
| Weighted average number of shares outstanding during the year for Basic EPS | 13,48,35,173 | 10,14,70,780 |
| Add: Weighted average number of preference shares outstanding during the year, to be converted into equity shares (other than those classified as instruments completely in the nature of equity | - | 78,10,470 |
| Add: Employee stock options outstanding | 1,19,700 | 2,68,000 |
| Weighted average number of shares outstanding during the year for Diluted EPS | 13,49,54,873 | 10,95,49,250 |
| **Earnings Per Share (Rs.):** | | |
| Basic | 5.85 | 8.46 |
| Diluted | 5.84 | 7.91 |

For the purpose of computing Basic EPS, equity shares which will be issued upon conversion of Instrument entirely Equity in nature have been considered from the date of their issue.

* The Company has issued bonus share in the ratio of 1:199 during the year ended 31 March 2022 (refer note 16(f)). In line with the requirements of Para 28 of Ind AS 33, for the purpose of EPS calculations, bonus shares issued have been considered as if the event of bonus issue had occurred at the beginning of the earliest period presented.

@ Pursuant to the resolutions passed by the Board of Directors on 15 December 2021 and the Shareholders on 15 December 2021, the face value of the equity shares was sub-divided from Rs. 10 per equity share to Re. 1 per equity share. Accordingly, the issued, subscribed and paid-up equity share capital of the Company being 9,525,000 equity shares of Rs. 10 each was sub-divided into 95,250,000 equity shares. The number of shares to be used in the Basic EPS and Diluted EPS calculation in respect of the period presented above have been accordingly adjusted to give retrospective effect to the share split.

# Imagine Marketing Limited (Formerly known as Imagine Marketing Private Limited)

## Notes to the Standalone Financial Statements for the year ended 31 March 2022

***(All amounts are in Rs. million, unless otherwise stated)***

**33 CONTINGENT LIABILITIES AND CONTINGENT ASSETS**

**(i) Contingent Liabilities**

| Particulars | As at 31 March 2022 | As at 31 March 2021 |
|---|---|---|
| **Contingencies** | | |
| Indirect Tax matters (refer note(a)) | 341.98 | - |
| **Claims against the Company not acknowledged as debts** | | |
| Dividend on 0.01% Cumulative Compulsory Convertible preference shares of Rs. 6,000 each @ | 0.01 | 0.00 |

(a) The Company has received a show cause notice from the Commissioner of Customs (Import) alleging incorrect classification of the product "Bluetooth Headphone". The Company has filed an appeal before Commissioner of Customs (Import) ACC Sahar. The Company believes that the demand will not materialise and hence the same has been disclosed as contingent liability.

(b) @ The Company has issued 17,269 (31 March 2021: 15,507) 0.01% Cumulative Compulsory Convertible preference shares of Rs. 6,000 each which carry a right to preferred cumulative dividend of 0.01% of the par value per annum. As at 31 March 2022, the arrears of preferred cumulative dividend not yet declared by the Company amounts to Rs 12,496 (31 March 2021: Rs. 2,192)

(c) There are no other contingent liabilities as on 31 March 2022 (31 March 2021: Nil)

**(ii) Contingent assets**

There are no contingent assets as on 31 March 2022 (31 March 2021: Nil)

**34 COMMITMENTS**

| Particulars | As at 31 March 2022 | As at 31 March 2021 |
|---|---|---|
| **A. Lease commitments** | | |
| Lease commitments are the future cash out flows from the lease contracts which are not recorded in the measurement of lease liabilities. These include potential future payments related to leases of low value assets, leases with term less than twelve months and variable leases. | | |
| Not later than one year | 15.66 | 0.25 |
| Later than one year and not later than five years | - | - |
| Later than five years | - | - |
| | **15.66** | **0.25** |
| **B. Capital commitments** | | |
| Estimated amount of contracts remaining to be executed on capital account and not provided for (net of capital advances) | - | - |
| **C. Other commitments** | - | - |
| The company has given support letter to provide financial support to one of its subsidiaries - Dive Marketing Private Limited | | |

### 35 FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS

**A. Financial instruments by category and their fair value**

The carrying amounts and fair values of financial instruments by class are as follows:

| Particulars | Note | Carrying amount As at 31 March 2022 | As at 31 March 2021 | As at 1 April 2020 |
|---|---|---|---|---|
| **FINANCIAL ASSETS** | | | | |
| **Financial assets measured at fair value** | | | | |
| Investments measured at | | | | |
| - Fair value through profit or loss | *7* | 26.98 | 24.48 | 23.31 |
| **Financial assets measured at amortised cost** | | | | |
| Investments in Subsidiaries and Associate | *6* | 2,336.74 | - | 50.00 |
| Trade receivables | *12* | 3,227.37 | 754.83 | 552.75 |
| Cash and cash equivalents | *13* | 302.22 | 1,443.93 | 73.15 |
| Bank balance other than cash and cash equivalents | *14* | 1,575.84 | 45.00 | 12.50 |
| Loans | *15* | 34.21 | 0.59 | 0.93 |
| Other financial assets | *8* | 2,566.51 | 23.46 | 16.55 |
| **Total financial assets** | | **10,069.88** | **2,292.29** | **729.19** |
| **FINANCIAL LIABILITIES** | | | | |
| **Financial liabilities measured at amortised cost** | | | | |
| Borrowings | *18* | 9,211.32 | 415.33 | 488.11 |
| Lease liabilities | *19* | 135.65 | 101.62 | 54.90 |
| Trade payables | *21* | 2,188.68 | 1,205.84 | 343.50 |
| Other financial liabilities | *22* | 8.11 | 30.74 | 10.15 |
| **Total financial liabilities** | | **11,543.76** | **1,753.53** | **896.66** |

**B. Fair Value Hierarchy**

The fair value of financial instruments as referred to in note (A) above have been classified into three categories depending on the inputs used in the valuation technique. The hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and lowest priority to unobservable inputs (Level 3 measurements).

The categories used are as follows:
**Level 1:** Quoted prices for identical instruments in an active market;
**Level 2:** Directly or indirectly observable market inputs, other than Level 1 inputs; and
**Level 3:** Inputs which are not based on observable market data.

For assets and liabilities which are measured at fair value as at Balance Sheet date, the classification of fair value calculations by category is summarised below:

| Particulars | Level 1 | Level 2 | Level 3 | Total |
|---|---|---|---|---|
| **As at 31 March 2022** | | | | |
| **Assets at fair value** | | | | |
| Investments in mutual funds | 26.98 | - | - | 26.98 |
| **As at 31 March 2021** | | | | |
| **Assets at fair value** | | | | |
| Investments in mutual funds | 24.48 | - | - | 24.48 |
| **As at 01 April 2020** | | | | |
| **Assets at fair value** | | | | |
| Investments in mutual funds | 23.31 | - | - | 23.31 |

There have been no transfers between Level 1 and Level 2 during the reporting periods.

**35 FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS (CONTINUED)**

**B. Fair Value Hierarchy *(Continued)***

**Calculation of Fair Values**

The fair values of the financial assets and liabilities are defined as the price that would be received on sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Methods and assumptions used to estimate the fair values are consistent with those used for the year ended 31 March 2021.

**Financial assets and liabilities measured at fair value as at Balance Sheet date:**

The fair values of investments in mutual fund units is based on the net asset value ('NAV') as stated by the issuers of these mutual fund units in the published statements as at Balance Sheet date. NAV represents the price at which the issuer will issue further units of mutual fund and the price at which issuers will redeem such units from the investors.

**Other financial assets and liabilities**

Fair value of financial assets and liabilities measured at amortised cost (cash and cash equivalents, other bank balance, trade receivables, other financial assets, trade payables, borrowings, lease liabilities and other financial liabilities) is not materially different from the amortised cost. Further, impact of time value of money is not significant for the financial instruments classified as current. Accordingly, the fair value has not been disclosed separately.

**C. Financial risk management**

The Company's business activities are exposed to a variety of financial risks, namely liquidity risk, market risk and credit risk. The Company's senior management has the overall responsibility for establishing and governing the Company's risk management framework. The Company has constituted a Risk Management Committee, which is responsible for developing and monitoring the Company's risk management policies. The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set and monitor appropriate risk limits and controls, periodically review the changes in market conditions and reflect the changes in the policy accordingly. The key risks and mitigating actions are also placed before the Audit Committee of the Company.

**(i) Management of Liquidity Risk**

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are proposed to be settled by delivering cash or other financial asset. The Company's financial planning has ensured, as far as possible, that there is sufficient liquidity to meet the liabilities whenever due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company regularly monitors the rolling forecasts to ensure it has sufficient cash on an on-going basis to meet operational needs. Any short-term surplus cash generated, over and above the amount required for working capital management and other operational requirements, is retained as cash and cash equivalents (to the extent required) and any excess is invested in interest bearing term deposits with appropriate maturities to optimise the cash returns on investments while ensuring sufficient liquidity to meet its liabilities.

**Financing arrangement**

The Company had access to the following undrawn borrowing facilities at the end of the reporting year:

| Particulars | As at 31 March 2022 | As at 31 March 2021 | As at 1 April 2020 |
|---|---|---|---|
| Cash credit facilities (includes bank overdraft and working capital facilities) | 719.76 | 773.61 | 288.80 |
| Other financing arrangements (includes bill discounting, letter of credit, etc.) | 569.83 | 44.89 | 20.00 |
| | **1,289.59** | **818.50** | **308.80** |

**35 FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS (CONTINUED)**

**C. Financial risk management *(continued)***

**(i) Management of Liquidity Risk *(continued)***

**Exposure to liquidity risk**

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted, and include estimated interest receipts / payments and exclude the impact of netting agreements.

| Particulars | Note | Carrying amount | Undiscounted Amount Within 1 year | More than 1 year | Total |
|---|---|---|---|---|---|
| **As at 31 March 2022** | | | | | |
| **Financial liabilities (non derivative liabilities)** | | | | | |
| Borrowings | *18* | 9,211.32 | 9,211.32 | - | 9,211.32 |
| Lease liabilities | *19* | 135.65 | 41.36 | 103.40 | 144.76 |
| Trade payables | *21* | 2,188.68 | 2,188.68 | - | 2,188.68 |
| Other financial liabilities | *22* | 8.11 | 8.11 | - | 8.11 |
| **As at 31 March 2021** | | | | | |
| **Financial liabilities (non derivative liabilities)** | | | | | |
| Borrowings | *18* | 415.33 | 415.33 | - | 415.33 |
| Lease liabilities | *19* | 101.62 | 24.57 | 86.39 | 110.96 |
| Trade payables | *21* | 1,205.84 | 1,205.84 | - | 1,205.84 |
| Other financial liabilities | *22* | 30.74 | 30.74 | - | 30.74 |
| **As at 01 April 2020** | | | | | |
| **Financial liabilities (non derivative liabilities)** | | | | | |
| Borrowings | *18* | 488.11 | 435.11 | 252.00 | 687.11 |
| Lease liabilities | *19* | 54.90 | 13.49 | 47.48 | 60.97 |
| Trade payables | *21* | 343.50 | 343.50 | - | 343.50 |
| Other financial liabilities | *22* | 10.15 | 10.15 | - | 10.15 |